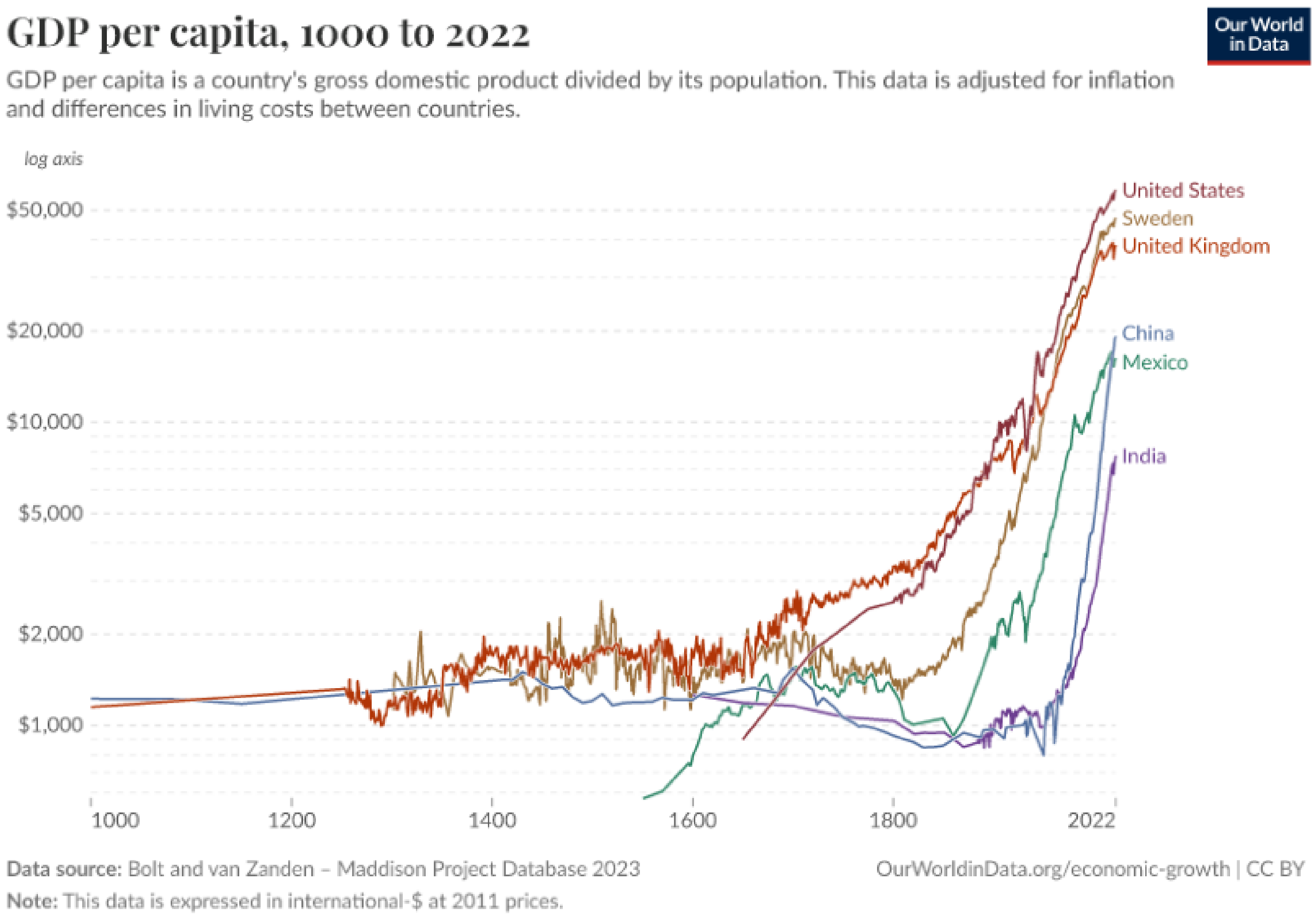
Class 2

GDP, Living Standards, and Welfare

Part I — The Growth Miracle

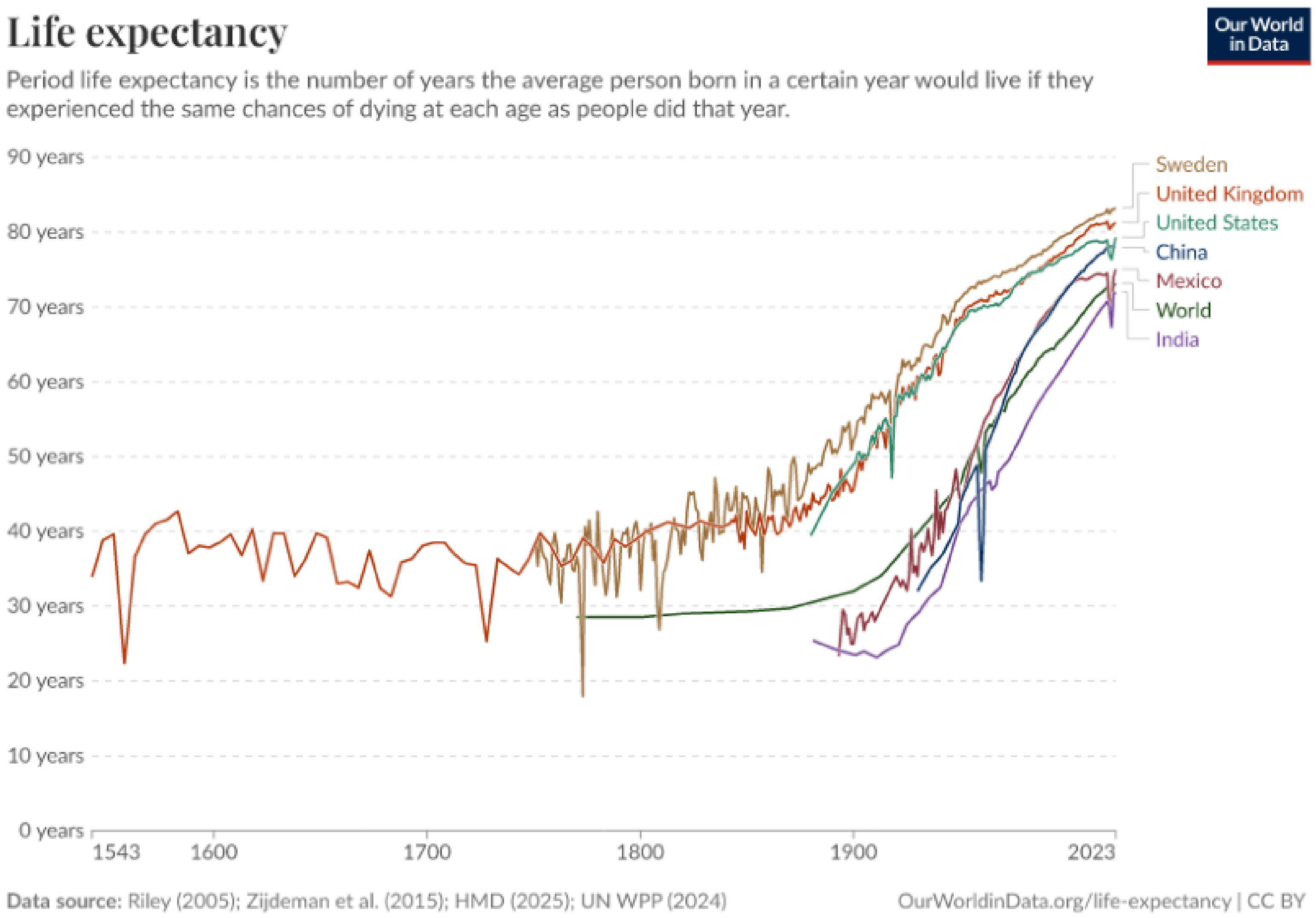
ECON 1740 — The American Economy · University of Utah

GDP per capita since 1500



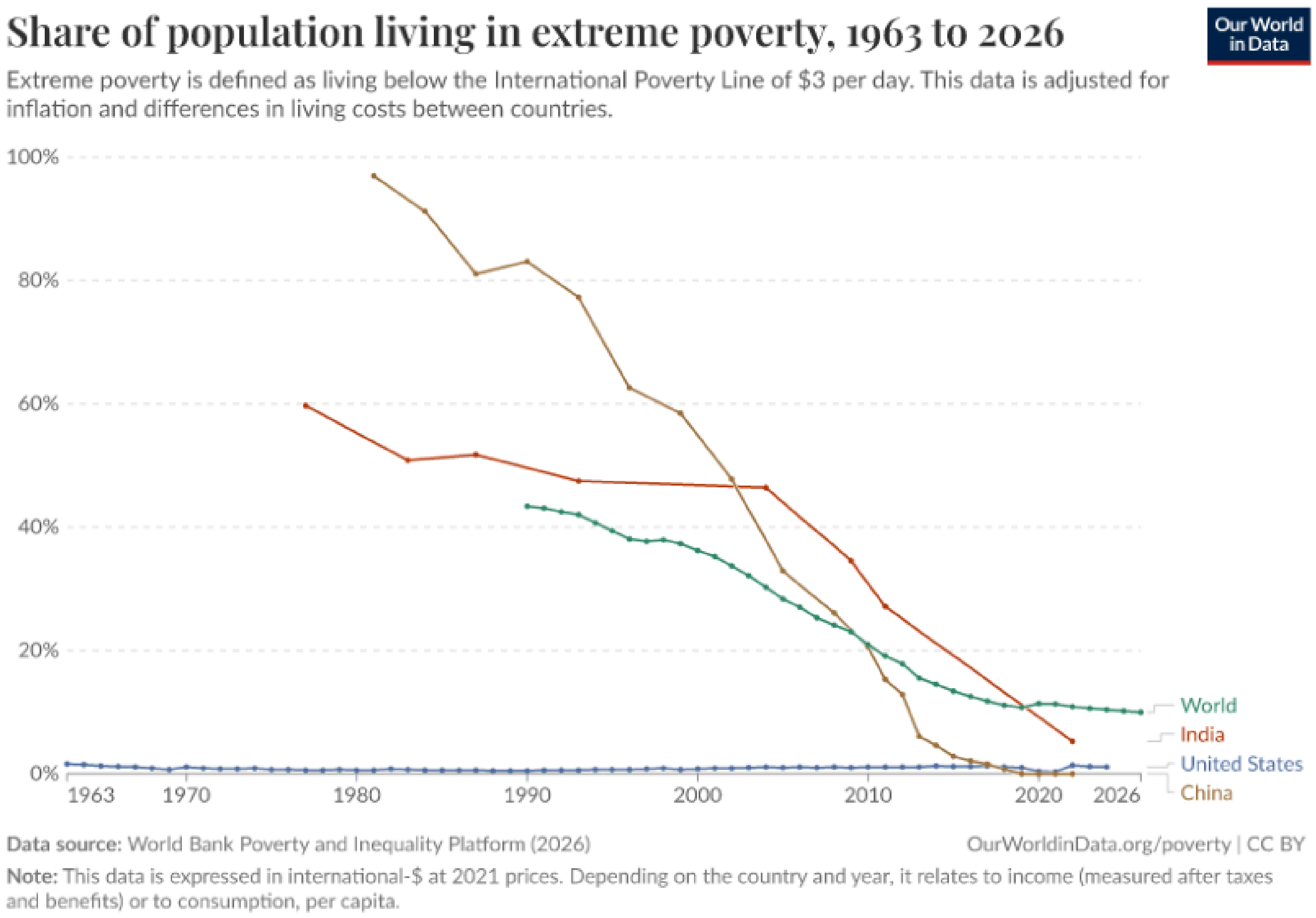
Source: Maddison Project Database 2023 (Bolt and van Zanden), via Our World in Data. CC-BY 4.0.

Life expectancy at birth, 1543–present



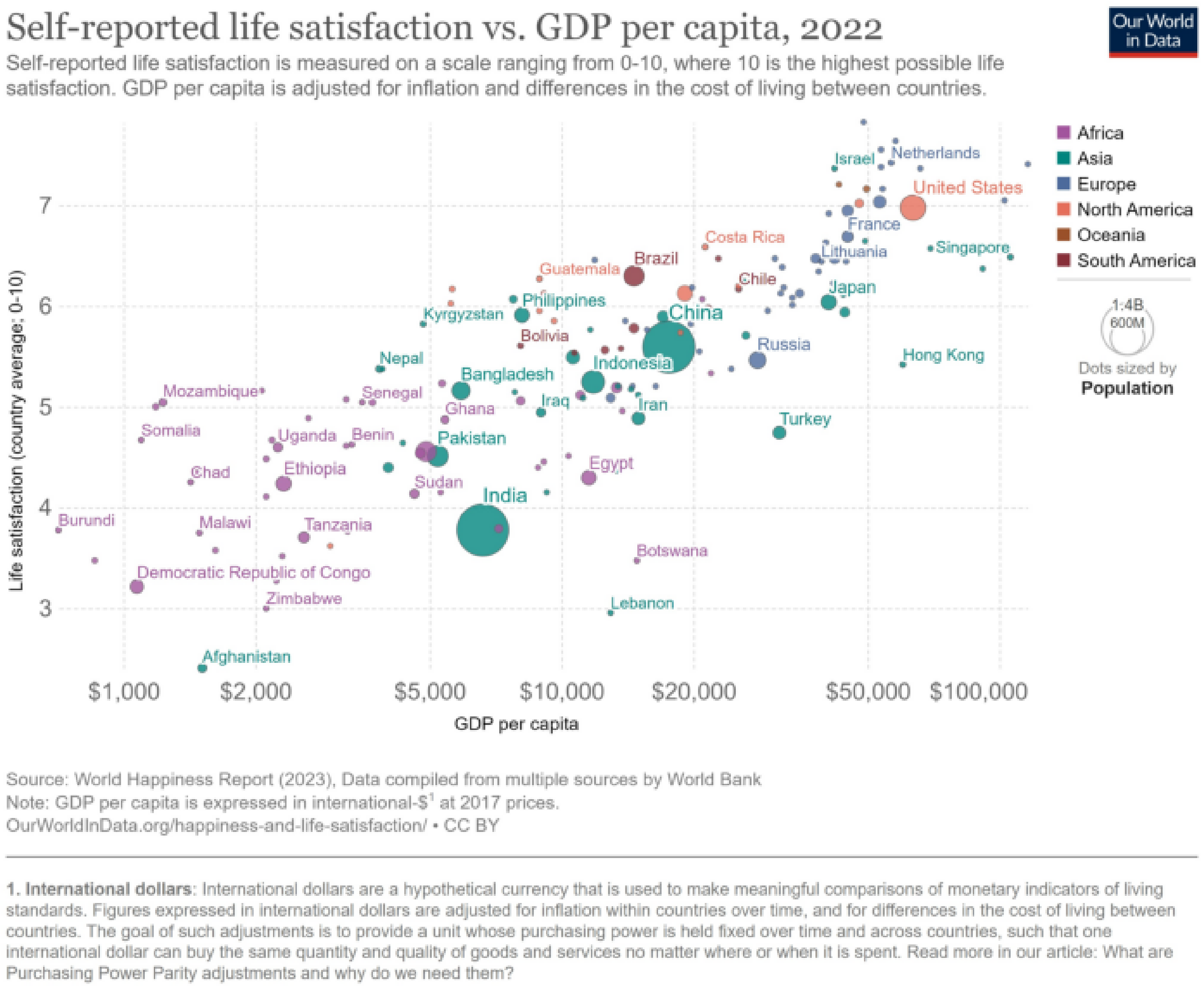
Source: Our World in Data, based on Riley (2005), Clio Infra, and UN WPP. CC-BY 4.0.

Extreme poverty has collapsed worldwide



Source: World Bank Poverty and Inequality Platform, via Our World in Data. CC-BY 4.0.

Does income buy happiness? Stevenson and Wolfers



Source: Stevenson and Wolfers (2008), Brookings Papers on Economic Activity.

What about above $75{,}000? Killingsworth (2021)

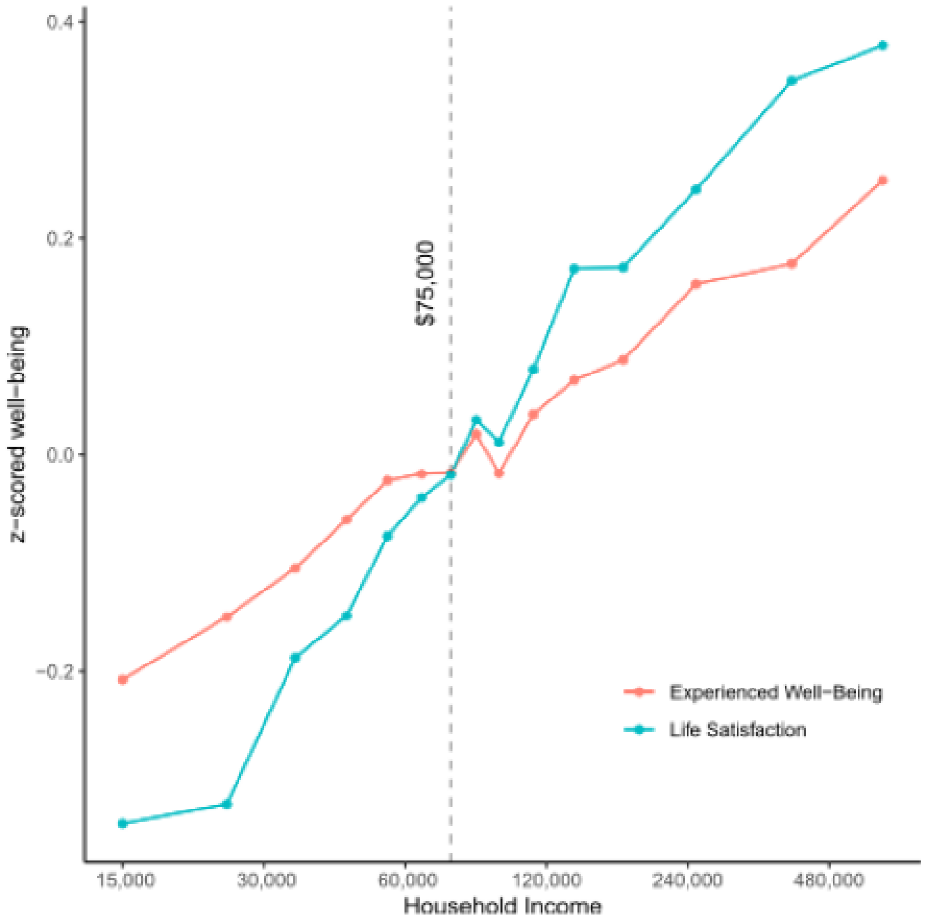


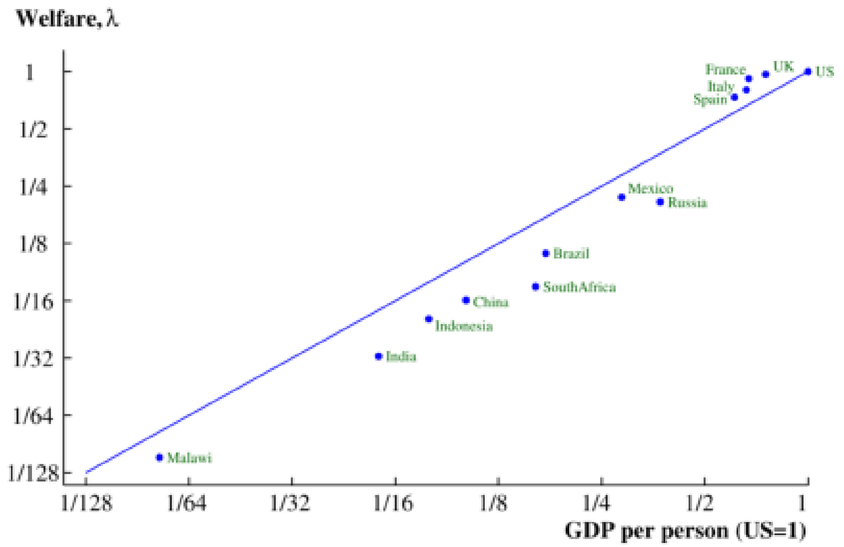
Fig. 1. Mean levels of experienced well-being (real-time feeling reports on a good–bad continuum) and evaluative well-being (overall life satisfaction) for each income band. Income axis is log transformed. Figure includes only data from people who completed both measures.

Source: Killingsworth (2021), PNAS, "Experienced well-being rises with income, even above $75{,}000 per year."

Welfare vs. GDP across countries (Jones–Klenow)

WELFARE ACROSS COUNTRIES AND TIME 19

Figure 5: Welfare and Income across Countries



(a) Welfare and income are highly correlated at 0.98...

Source: Jones and Klenow (2016), American Economic Review, "Beyond GDP? Welfare across Countries and Time."